

December-23-03-5372
B.Com. Sem. -I (New) Examination
Course Implemented after June- 2020
Dec. -2023
Financial Accounting - I

Total Marks : 70

Time : 2½ Hours

Que. 1 A.1. T, S and P are the partners of the firm and they share Profit and Loss in the proportion of 3:2:1 respectively. They decided to dissolve the partnership firm on 31/03/2022 and realize the assets and distribute cash among the partners at the end of each month, when their balance sheet stood as follows. 14

Liabilities	Rs.	Assets	Rs.
Capital A/cs: T	2,80,000	Assets	8,12,000
S	1,40,000	Cash Balance	56,000
P	28,000		
Loans of S	1,00,000		
Creditors	3,20,000		
	8,68,000		8,68,000

Additional information:

Details	Realization (Rs.)	Expenses paid. (Rs.)
First Instalment	1,68,000	14,000
Second Instalment	1,44,000	11,000
Third Instalment	2,48,000	9,800
Fourth Instalment	2,18,000	15,200

From the above information show the distribution of cash among the partners according to maximum Loss method.

OR

Que. 1 A.1. Give answers of following questions. 14

1. Explain, distribution of cash as per "Surplus capital method".
2. Explain, Distribution of cash as per "Maximum loss method".
3. Explain, How to pay partner's loan.

Que. 1 B. Explain in brief, Payment of Firm's bank loan. 04

Que. 2 A.1. A company issued a prospectus inviting applications for 20,000 Equity shares of Rs. 10 each at a premium Rs. 2 per share payable as under. 14

On Application	Rs. 2
On Allotment (including premium)	Rs. 5
On First Call	Rs. 2
On second Call	Rs. 3

Applications were received for 30,000 shares and allotment made pro-rata to the applicants of 24,000 shares and the remaining applications were refused and amount was refunded. Money over paid on applications was to be transferred to allotment account.

Anil, to whom 800 shares were allotted, failed to pay the allotment money and Bakul, to whom 1,000 shares were allotted, failed to pay the two calls. These shares were forfeited after making second call.

All the shares were sold to Mr. Jayesh, credited as fully paid, for Rs. 8 per share. Pass the necessary journal entries and summary in the books of the company.

OR

Que. 2 A.1. Write a short notes.

14

1. Share forfeited A/c.
2. Methods of ascertaining profit prior to incorporation.
3. Write Note on, "Proportion of sales and Time".

Que. 2 B. Explain in brief "Use of Profit prior to incorporation".

04

Que. 3 A.1. The following was the balance sheet of Kailash Brothers as at 1st January, 2022.

14

Liabilities	Rs.	Assets	Rs.
Capital	1,50,000	Goodwill	6,000
Creditors	20,000	Machinery	30,000
		Building	20,000
		Stock	20,000
		Debtors	44,000
		Investments	45,000
		Cash	5,000
	1,70,000		1,70,000

The Assets and Liabilities except debtors and creditors were taken over by Somnath limited at their book figures. The company however agreed to collect the debtors and pay the creditors as a agent for the vendor.

The company could collect only Rs. 41,000 from debtors in full settlement and paid Rs. 18,5000 to creditors in full settlement.

The purchase consideration was paid by issuing 12,200 Equity shares of Rs. 10 each.

Prepare vendor's debtor A/c, vendor's creditor A/c and vendor's Suspense A/c (Assume that the remaining balance was paid by the company) and write the journal entries in the book of Somnath limited.

OR

Que. 3 A. Write Short notes.

14

1. Methods of Purchase consideration.
2. Goodwill or capital reserve.

Que. 3 B. Explain in brief 'Vendor's Suspense A/c.

03

Que. 4 A.1. Prepare a Balance Sheet and Profit & Loss statement in vertical form as per the Company's Act 2013 with imaginary figures.

14

OR

Que. 4 A. Explain following questions.

14

1. Depreciation Fund and Provisions.
2. Taxation provision and Effects.
3. Corporate Dividend Tax.

Que. 4 B. Suspense liabilities and commitment.

03